



Various coil wound components

upcoming area gaining momentum. Although with this concept, all devices around it, like meters or grids, get smarter, which, in turn, reduces the bill of material (BOM) value of coil wound components. This could significantly boost the coil wound industry. "Coil wound components are needed in almost every electronics product, even digital," informs Bharara. Set-top boxes are very well-connected with the coil wound components industry.

Other key segments driving the coil wound industry today are power equipment, like uninterrupted power supplies (UPSs), inverters and compact fluorescent lamps (CFLs). "But with CFLs, I presume the growth will get stagnant in the coming years." He adds, "LED lighting, which has been growing in a big way, is much simpler in terms of requirement of coil wound components and designing as compared to CFL."

Talking about Rosy Electronics, Bharara shares, "At the present moment, for coil wound components, we are focusing on segments like LEDs, power supplies and energy meters." He adds, "I do not believe in banking completely on one particular segment, such as LED, just because it is growing in a big way today." Explaining his statement, he says, "Around six months back, from a design level, it was presumed, for the LED segment, that it would require a lot of technology

as far as magnetics was concerned. Now, there are talks about using chokes that are very similar to the ones used in CFLs. So, there are a lot of changes happening on the design side of LED. Therefore we do not want to focus completely on it, although we will not ignore it."

At the present moment, there is also a substantial market for streetlights and industrial lighting, with respect to wound components.

### Recommendations for overall improvement of the industry

Favourable government policies will tip the scale in favour of Indian manufacturers. According to recommendations in IESA-Frost & Sullivan report, there must be preferential excise duty for transformer manufacturing in the form of tax rebates. Subsidies on logistic costs of copper import could reduce the product landed cost. Facilities like special interest loans for working capital for small and medium-sized enterprises (SMEs) need to be introduced.

There are a number of other core problematic areas that need to be defined clearly and tackled with. "LED segment is in the driver's seat today but the growth is in bits and pieces," feels Bharara. He adds, "If the government pushes for the development of other electronics sectors as well, then the LED industry can flourish. If there are just transformers manufactured and there is no growth in the dependant

industries, then there is no point in manufacturing just coil wound components. An atmosphere of overall development needs to be created."

There is a lot of activity happening, such as the Make in India campaign, but there are a number of issues that need to be resolved before such new initiatives

are implemented, informs Bharara. The cost of interest levied on financing in India (which is higher) versus other countries affects the cost of components greatly. Today, although they are making mandatory in government tenders that 30 per cent of the product should be made in India, which is a good sign, there is lack of platform for Indian manufacturers to deliver. Bharara says, "The policy which makes it a compulsion in the tender to use Indian components is not very impactful, such that it would increase the market size for us. It is not a holistic move." He adds, "Although the policy states that 30 per cent of the end-product should be made in India, in reality this does not happen. Majority of components come from outside India."

Bharara says, "One of the reasons why China is ahead in the game is because co-operative banks charge very nominal interest. Therefore Chinese manufacturers can afford to not include the interest expenditure to the cost of the product." There must be a similar platform with favourable infrastructure for Indian manufacturers.

However, Bharara feels that the new government is showing some willingness to make a change. The future ahead looks rosy but the current situation does not. The government has taken some action but the effect is not visible at grass-root levels. ●